same for the next 490 names in the index, and they were down about 8%. That shows just how much a few giants matter to the index.

The giant FAANMGs[198] derive about half—and in some cases even more—of their revenues from abroad. Beyond that, the pandemic lockdown in the US benefited these giant tech companies' sales and profits.[199] Despite the big first-quarter sell-off, the Nasdaq, dominated by those big tech companies, was up 17% by mid-year. From the lows, the NDX was up 84%; for the full calendar year, it rose 47%.

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When terrible economic data does not yield a correspondingly bad market reaction, it leads to yet another form of investor denominator blindness. Everyone sees the numerator—the economy's impact on these sectors—but most miss the denominator, namely, the weightings of these sectors in broad market indices. The 50 worst-performing industry sectors in the first half of 2020 were less than 6% of the S&P 500's capitalization. Not to be blasé, but Mr. Market is informing investors that these tiny sectors do not matter all that much to index performance.

On one level, it's completely understandable that people believe markets are not tethered to reality because market performance doesn't correspond to their personal experiences of job losses, economic hardship, and personal despair. But what's important to understand is that indexes based on market-cap weighting are often driven by the gains of just a handful of companies.

The one thing the market isn't irrationally disconnected from is the reality of market capitalization and its impact on stock indexes. Mr. Market, as it turns out, is far more rational than your personal experiences may have led you to believe.

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Next, we look at how externalities—non-financial events like pandemics, war, terror attacks, and assassinations—affect markets.